



A World Running Hot: The Dual Crises of 2026

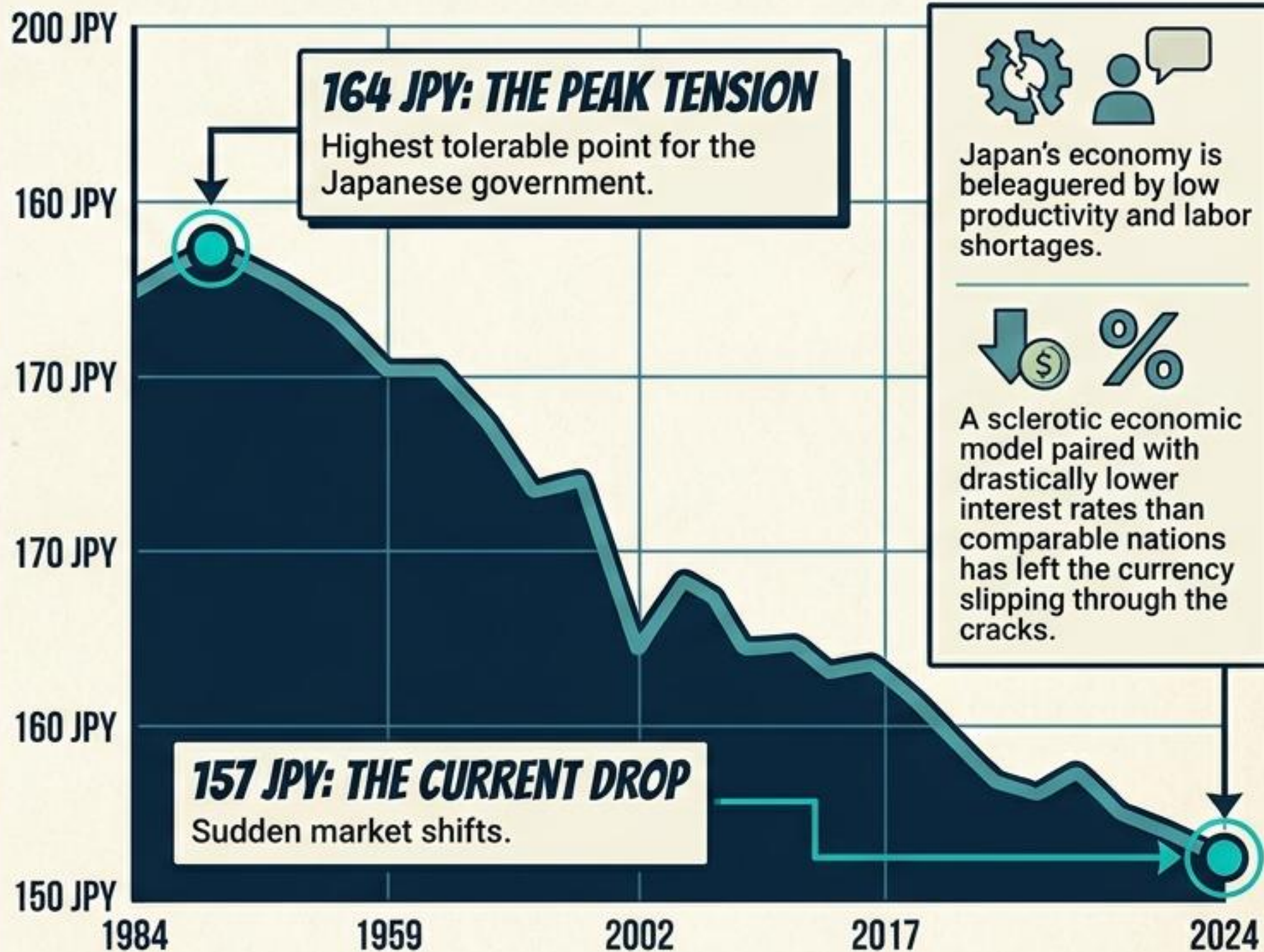
How extreme economic interventions and record-shattering climate realities are converging to shape our future.

Track A: The Economic Meltdown

Track B: The Physical Boiling



THE YEN'S 40-YEAR FREEFALL





THE TERRIFYING SPECTER OF INFLA

Insight Box

Infla is such an alien concept in modern Japan that there is no native word for it.

Japan uniquely demurred during COVID-19, keeping interest rates at zero while the rest of the world printed money.

THE IMPORT TRAP

Japan imports the vast majority of its necessities.

THE CURRENCY PENALTY

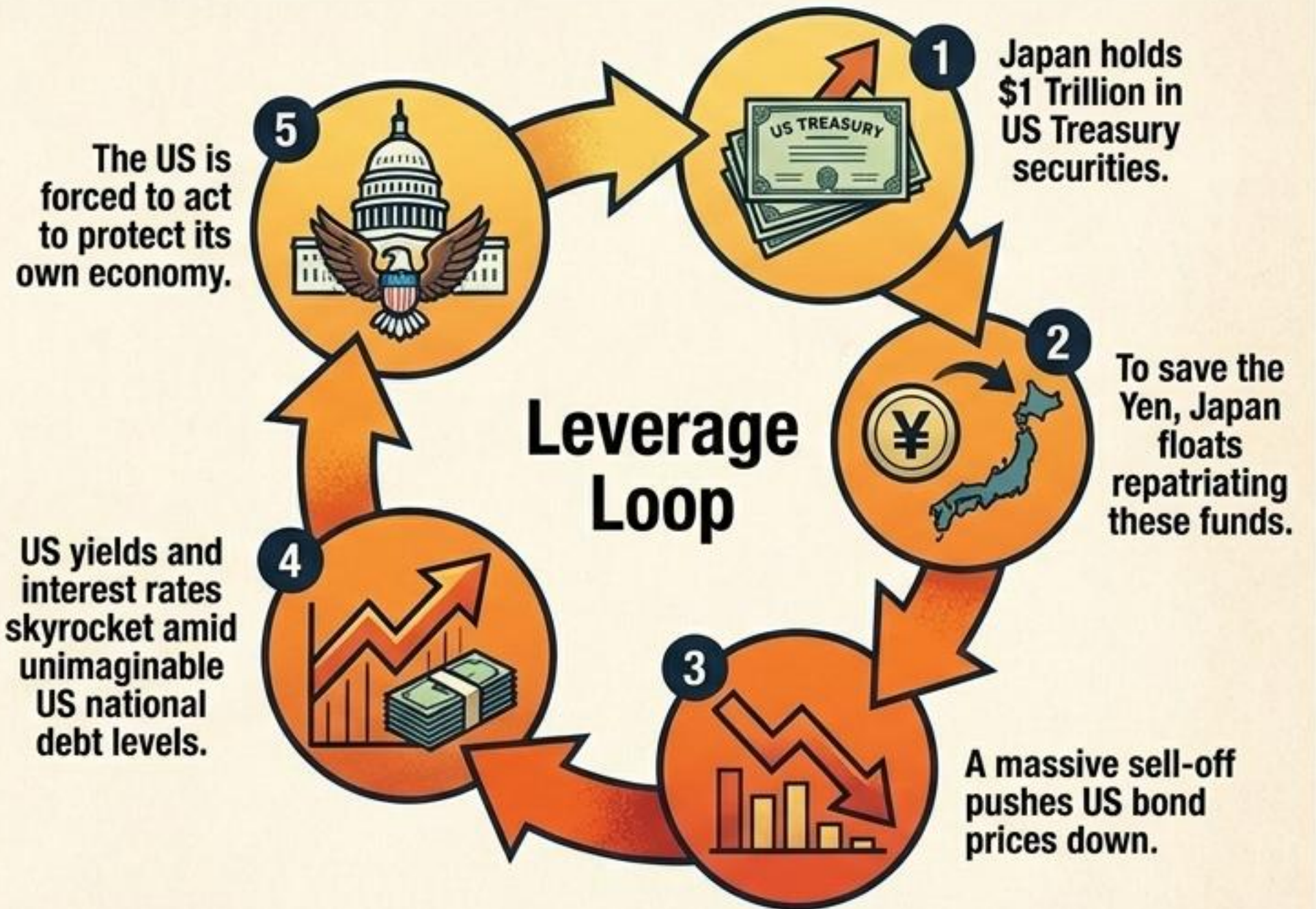
These imports are priced in US Dollars.

THE VICIOUS CYCLE

As global inflation infects the economy, domestic wages and prices are caught in an endless, chasing cycle.



THE \$1 TRILLION TRUMP CARD



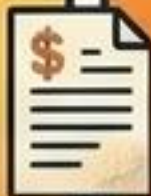
Japan's seemingly moribund economy actually holds immense leverage over the United States.



AN EXTRAORDINARY BILATERAL INTERVENTION

THE ACTION

First joint US-Japan currency intervention since 2011 (post-Fukushima).



A leaked memo on US Treasury Sec. Scott Beasant's desk read: "To Do - Buy Japanese Yen (JPY) 5-10 billion."

THE COST

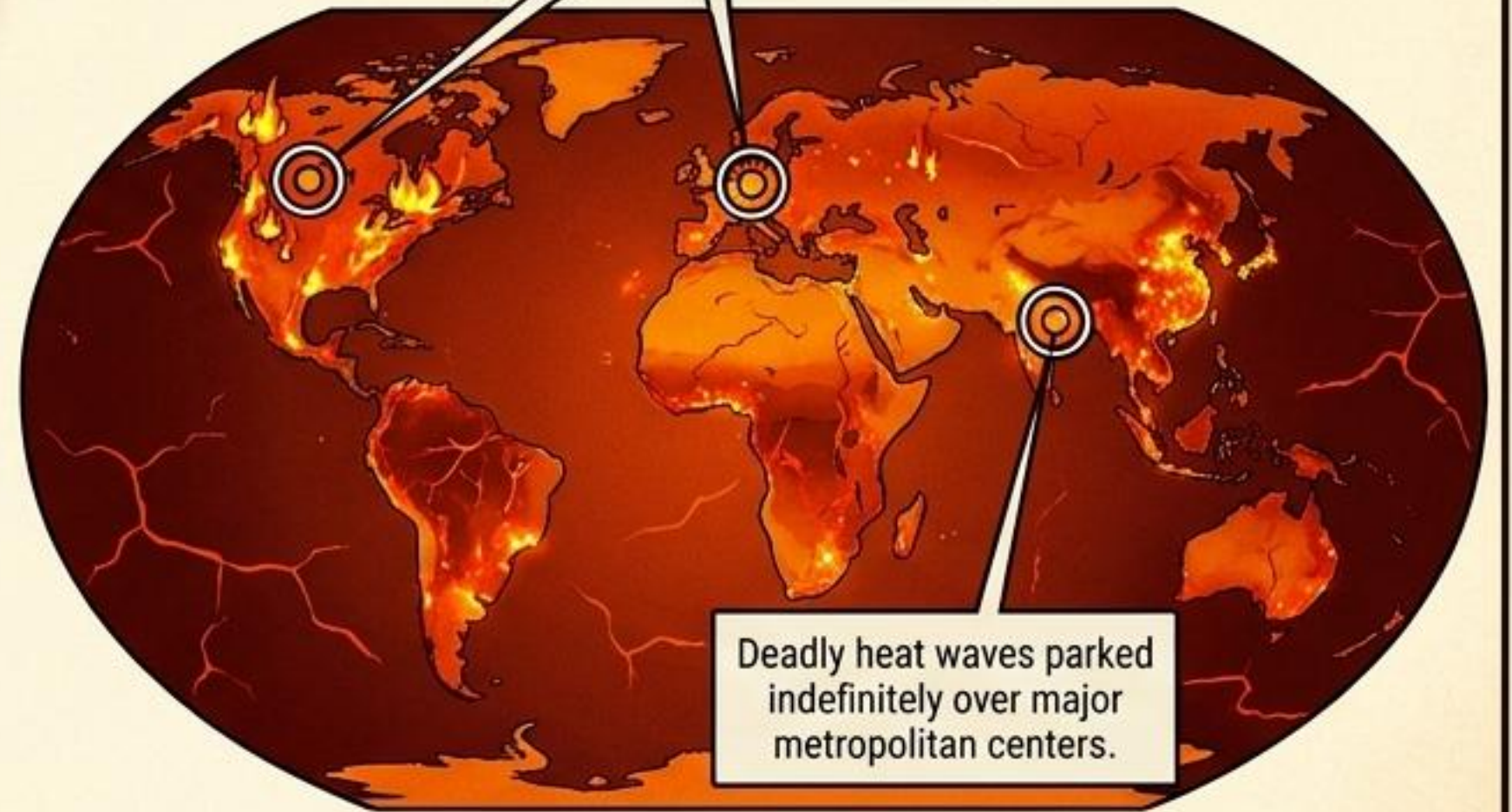
Japan has already burned through \$74 billion this year trying to save the currency—a fix that only lasted three weeks.



Prime Minister Sanae Takaichi is preparing a massive 21 trillion yen (\$134 billion) economic stimulus package.

WHILE THE ECONOMY SIMMERS, THE PLANET BOILS

Unprecedented wildfires
burning across continents.



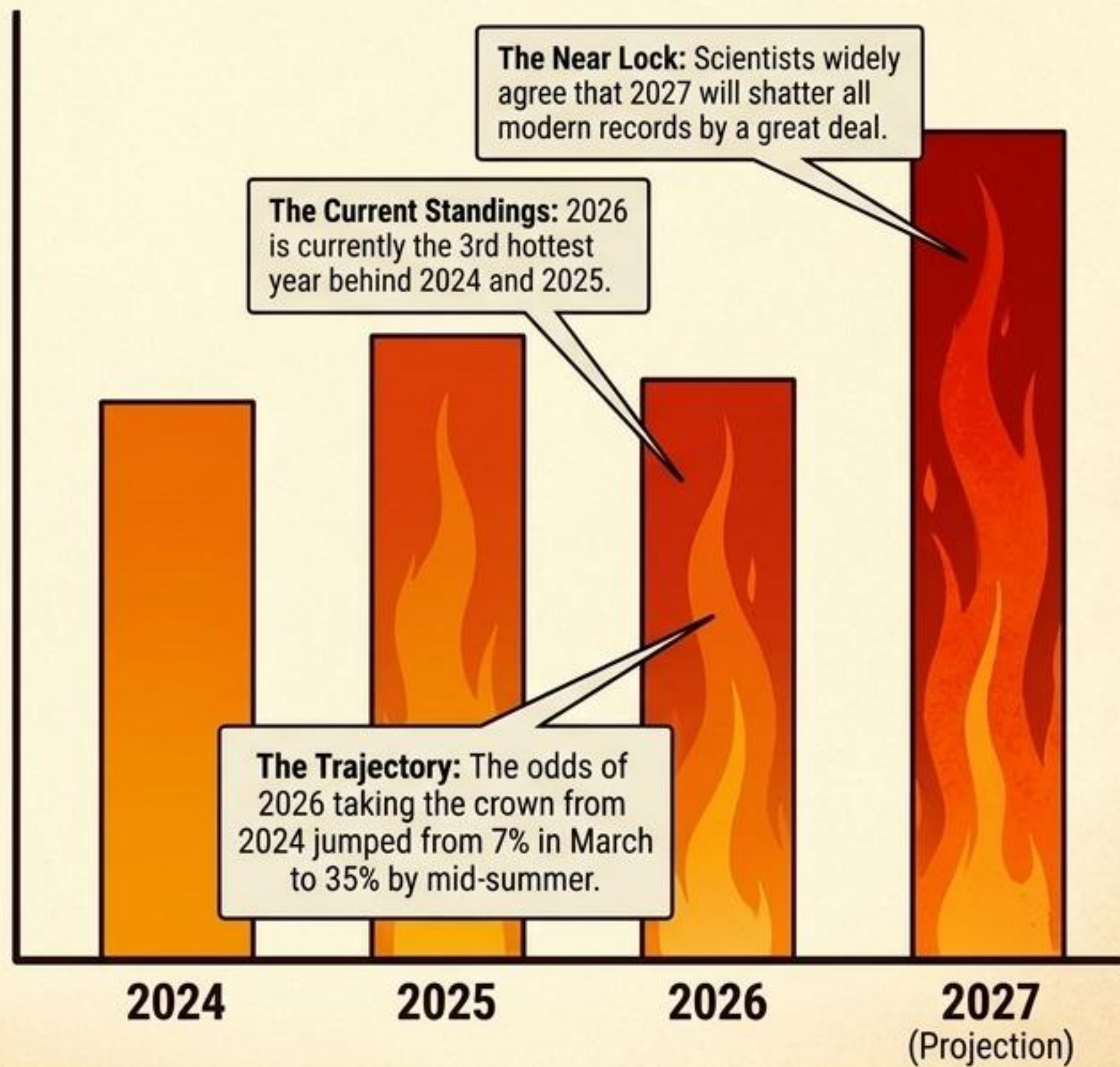
Deadly heat waves parked
indefinitely over major
metropolitan centers.

Forecast Box

A strengthening, off-the-charts super El Niño is actively spiking global temperatures and warping weather patterns globally.



THE RACE FOR THE HOTTEST YEAR





THE OCEANS ARE HIDING THE HEAT

Lag Effect

OCEAN HEAT
ABSORPTION

1.5-MONTH LAG

GLOBAL AVERAGE
TEMPERATURE SPIKE

1

82%

of the world's ocean
surface is currently
overheated by marine
heat waves.

2

70%

Coverage:
Oceans cover the
vast majority of the
globe, absorbing 90%
of greenhouse
gas heat.

The true impact of summer 2026's ocean heat has not yet
been fully reflected in surface temperatures.



IT'S NOT (JUST) THE MONSTER'S FAULT

ANATOMY OF WARMING



COMPONENT 1:
**THE TEMPORARY
CATALYST**
(EL NIÑO)

- Impacts don't fully kick in for months.
- Only adds **0.1 to 0.2** degrees to the global average.



COMPONENT 2:
**THE BACKGROUND
REALITY**
(HUMAN EMISSIONS)

The vast majority of record warmth, wildfires, and extremes is the long-term result of burning **coal, oil, and gas**.

IRONY CALLOUT

Traditional industrial smog (soot) actually **cooled** the planet. As pollution decreases, this masking effect disappears, accelerating the warming further.



The Unseen Toll of Nocturnal Heat



Health:
Severe impairment
to human
thermoregulation.



Sleep Architecture:
Degradation of
rest and recovery.



Economy:
Plunging
workforce
productivity.

Global Scope Checklist	
Exceptional Strikes:	
☒ Europe (May, June, and twice in July)	☒ South America
☒ North America	☒ India

Diagnostic: Two Crises, One Underlying Flaw



The Economic Crisis



The Climate Crisis

Root Cause

Structural decline & decades of zero interest rates.

Decades of burning coal, oil, and gas.

The Catalyst

Oil shocks & Global inflation importing.

A super El Niño weather pattern.

The Band-Aid Intervention

Pumping billions in FX reserves to buy Yen.

Decreasing industrial smog (which ironically removes cooling soot).

The Long-Term Consequence

Eventual repatriation of \$1T & a US debt crisis.

Unprecedented, multi-year global heat records.



The Real Battle is Yet to Come

Treasury-Man's billions may have caught the Yen for now, but fiscal stimulus and currency interventions cannot cool a literally warming planet.

As Japan prepares a 21 trillion yen stimulus package...

And the US manages unimaginable debt levels to maintain the status quo...

The physical world is catching fire.

The future is going to be hot—in every sense of the word.